

15. (1.5 points)

Briefly describe how the following components of a loss reserve could vary for a reinsurer versus a primary insurer.

a. (0.5 point)

Additional case reserves on individual claims

b. (0.5 point)

Pure IBNR

c. (0.5 point)

Risk Load

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EXAM 7 SPRING 2017 SAMPLE ANSWERS AND EXAMINER'S REPORT

QUESTION 15	
TOTAL POINT VALUE: 1.5	LEARNING OBJECTIVE(S): A11
SAMPLE ANSWERS	
Part a: 0.5 point	
<u>Sample 1</u> Reinsurers might add additional reserves on individual claims based on their expertise. Primary insurers have don't need to add additional reserve since they booked the original reserves themselves. <u>Sample 2</u> Primary insurer often sets case reserves at modal values, reinsurers would want to increase that to a realistic amount. <u>Sample 3</u> Reinsurers tend to be more conservative due to lack of exposure and detailed underlying claims data. There is report lag b/t cedant and reinsures w/ inflation. ACR for reinsurers should be higher. <u>Sample 4</u> Additional case reserves on individual claims would be higher for a reinsurer since primary insurer tend to under-reserve ALAE and may set case reserves equal to a modal value. <u>Sample 5</u> Will be higher for reinsurer since primary insurer probably only reserve at modal value. Reinsurer will receive the cases that exceed a certain threshold, so they will probably need additional claims reserve.	
Part b: 0.5 point	
<u>Sample 1</u> For a primary insurer, the losses haven't been reported yet, but for a reinsurer, it's possible that the loss has been reported to the primary insurer, but not to the reinsurer yet (hasn't reached the threshold). So probably higher for reinsurer. <u>Sample 2</u> Reinsurer will have a higher pure IBNR than primary as XOL loss will have a long tail, but most of it will not affect the primary insurer. <u>Sample 3</u> Because of limited data, the reinsurer will sometime include IBNR and IBNER in the same IBNR field. It is not so for the primary insurer.	
Part c: 0.5 point	
<u>Sample 1</u> Primary insurer doesn't have Risk Load. It is added by reinsurer due to the high risks the reinsurer is exposed to due to the long reporting lag or insufficient information etc. <u>Sample 2</u>	

EXAM 7 SPRING 2017 SAMPLE ANSWERS AND EXAMINER'S REPORT

Losses below the limit will be more stable and predictable than excess losses, the reinsurer will need to carry a higher percentage risk load than the primary to have the same confidence of adequate reserves. Can become a mgmt. issue for reinsurer as the need a higher RSV/SURPLUS ratio.

Sample 3

Risk load would typically be higher for a reinsurer than a primary insurer because there is additional uncertainty for reinsurers due to report lag, heterogeneous claims, limited information, amongst others that could require additional protection from a risk load.

Sample 4

The risk load is likely higher for a reinsurer as they might have greater need for catastrophe protection.

EXAMINER'S REPORT

Candidates were expected to compare and contrast reinsurance and primary reserving procedures.

Part a

Candidates were expected to know the components of a reinsurer's loss reserve.

Common errors include:

- Stating that ACR is more for primary insurer than for reinsurer
- Stating that the process of reserving is different between primary and reinsurer and not stating this component is unique for reinsurer or larger for reinsurer.

Part b

Candidates were expected to know Impact on assumptions from differences in information available to reinsurers

Common errors include:

- Stating that higher IBNR is due to low frequency/high severity for reinsurer
- Stating that higher IBNR is due to inflation/social economic factors for reinsurer

Part c

Candidates were expected to know the components of a reinsurer's loss reserve.

Common errors include:

- Stating that risk load is more for primary insurer than for reinsurer
- Stating that inflation caused higher risk load for reinsurers
- Stating that higher risk load is due to uncertainty/volatility/difficulty to estimate reserves without mentioning specific reasons, only partial credits were granted